

Mortgaged property	\$10,000,000	Mortgage debt	\$6,000,000
Working capital	1,000,000	Debentures	3,000,000
		Stock and surplus	2,000,000
	\$11,000,000		\$1,000,000

In this case the mortgage debt is only 60% of the pledged property but the stock equity is much less than two-thirds of the mortgage debt. Hence the latter bonds would not be eligible.

It should be noted that the New York statute considers only the par or stated value of the stock issues (including, of course, both preferred and common), and it does not give credit for the book surplus, which is part of the stockholders' equity. The theory behind this restriction may be that the surplus is legally distributable to the stockholders, and cannot therefore be counted on as a permanent protection for the bondholders. In actuality, however, a utility company's surplus is almost invariably invested to a large extent in fixed assets and is not distributable in cash. Hence, if tests of this kind are to be required, the stock-and-surplus figure would appear more logical than the stock issue alone.

Equity Test of Doubtful Merit in the Case of Utilities. We are inclined to question whether any substantial advantage is gained in the ordinary case by applying the property or stock-issue test to public-utility bonds. It is unlikely to give any indication of safety or lack of safety not already shown by the earnings record. In some few instances, perhaps, the income exhibit may be satisfactory but the asset coverage unduly small, and the latter point may suggest that since the company is earning an exceptionally high rate on its investment, it is vulnerable to unfavorable rate regulation. The primary difficulty, however, has lain in the lack of dependability of the balance-sheet figures of property values (and hence of stock equity) as an indication either of the actual cash investment or of the reproduction value which may be designated as the rate base. But in recent years the activities of the state commissions and the S.E.C. have given the public far more accurate balance sheets than formerly. Even allowing for this improvement, there does not seem to be sufficient reason to exact a property value or stock-equity test for publicutility bonds and none for railroad bonds.

There is, of course, no objection to the application of this stock-equity test (based on book figures) to both railroad and public-utility obliga-